Sino-Indian friction became the subject of public debate. In November 1957, the government had denied publicly that there was a dispute about India's "international frontier" with China.[158] But, in summer 1958, a Chinese magazine's publication of a map, showing "considerable" parts of what India considered its territory as part of China, led to parliamentary questions about China's attitude.[159] That October, when there was confirmation that the Chinese road in the western sector did indeed go through Aksai Chin—what India considered its territory—the government decided that it could no longer stay silent. The previous few months, Dutt noted, had "revealed a suspicious attitude on the part of the Chinese."[160]

The Chinese response unsettled Indian policymakers. Chinese officials insisted that the road was in Chinese territory. They also noted that they had detained an Indian reconnaissance team, and suggested that the Sino-Indian border had been neither surveyed nor settled. In December, Nehru wrote to Zhou, observing that in 1954, the premier had not raised any border questions and then, in 1956, had said that China proposed to recognize the McMahon Line. Recent Chinese contentions suggesting they did not see the border as settled, however, had left him "puzzled."[161]

India's concerns about China went beyond the border. Beijing's growing relationships with India's neighbors were a second source of anxiety. Chinese establishment of diplomatic relations with Afghanistan and Sri Lanka, and its budding relationship with Pakistan concerned Indian officials.[162] But it was China's increasing engagement with strategically important Nepal that kept officials up at night.[163] In September 1956, China and Nepal signed a trade and travel agreement, and Kathmandu decided to accept economic aid and industrial equipment from Beijing. Concerned that it was losing influence in this key buffer state, Delhi instructed its representative in Beijing to ensure that China continued to recognize India's special relationships with Nepal, Bhutan, and Sikkim.[164]

The concern about growing Chinese influence in Nepal had an impact on US-India relations. Initially, Delhi had strongly resisted any other country exercising influence or establishing a presence in Nepal. Greater American involvement there, officials felt, would only increase Chinese interest.[165] This attitude, however, had changed in mid-1955 with the imminent establishment of Sino-Nepalese relations just as it was becoming fiscally harder for India to aid Nepal. Delhi had subsequently accepted and even